



Iron and Steel (Amendment) Act 1976

1976 CHAPTER 41

An Act to make provision with respect to the limit on the sums borrowed by, or paid by the Secretary of State to, the British Steel Corporation and the publicly-owned companies, with respect to the powers of the Corporation to lend and borrow and the powers of those companies to borrow and with respect to the Corporation's accounts; and for connected purposes.

[29th July 1976]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Preliminary.
1975 c. 64.

1.—(1) The Iron and Steel Act 1975 shall be amended in accordance with the following provisions of this Act, and in this Act a reference to a section is a reference to a section of that Act.

(2) In this Act “the Corporation” means the British Steel Corporation and “publicly-owned company” has the same meaning as in the Iron and Steel Act 1975.

Increase in
borrowing
powers of
Corporation,
etc.

2.—(1) Section 19 (aggregate of money borrowed by the Corporation and the publicly-owned companies and of money invested in Corporation by Secretary of State limited to £2,000 million) shall be re-numbered as subsection (1) of that section and in that subsection for “£2,000 million” there shall be substituted “the limit imposed by or by virtue of subsection (2) below”.

(2) The following subsection shall be inserted at the end of section 19(1)—

“(2) The said limit is £3,000 million or such greater sum not exceeding £4,000 million as the Secretary of State may specify by order made with the consent of the Treasury.”

(3) Accordingly, in section 36 (regulations, orders and rules)—

(a) the following subsection shall be inserted after subsection (3)—

“(3A) No order shall be made under section 19(2) of this Act unless a draft of the order has been laid before, and approved by a resolution of, the House of Commons.”; and

(b) in subsection (5) (power to vary or revoke orders) after “6(3)” there shall be inserted “19(2)”.

3. In section 19(1)—

(a) at the end of paragraph (a) (aggregate subject to the limit includes money borrowed by Corporation, other than money borrowed by them for certain purposes) there shall be inserted “and other than money borrowed by them from a publicly-owned company”; and

(b) in paragraph (c) (aggregate includes money borrowed under section 16 by the publicly-owned companies other than from Corporation) for the words from “under section 16” to the end there shall be substituted “by any publicly-owned company, other than money borrowed from the Corporation or another publicly-owned company”.

Amounts of loans from a publicly-owned company to Corporation or another such company not to be limited.

4.—(1) A publicly-owned company shall have, and have only, such power to borrow as it would have apart from subsections (4) and (5) of section 16 (powers of, and restrictions on, borrowing of publicly-owned companies), and accordingly—

(a) subsection (4) shall be omitted, and

(b) in subsection (5) for “neither the Corporation nor a publicly-owned company shall” there shall be substituted “the Corporation shall not”.

Borrowing by publicly-owned companies.

(2) Without prejudice to section 3(5) (Corporation’s powers, including power to lend), the Corporation shall have power to lend to a publicly-owned company such sums as that company has power to borrow.

(3) After section 16(5) there shall be inserted the following subsection—

“(6) The Corporation shall secure that no publicly-owned company borrows money otherwise than from the Corporation or from another publicly-owned company except with the consent of the Secretary of State and the approval of the Treasury.

Borrowing by
Corporation
from publicly-
owned
companies.

5. The following new subsection shall be inserted in section 16 (in place of the subsection omitted by this Act)—

“(4) Without prejudice to the preceding provisions of this section, the Corporation may, without obtaining the consent of the Secretary of State or the approval of the Treasury under this section,—

(a) borrow temporarily, by way of overdraft or otherwise, from a publicly-owned company such sums in any currency as the Corporation may require for—

(i) meeting their obligations or exercising and performing their functions under this Act; or

(ii) lending money temporarily to another publicly-owned company;

(b) borrow (otherwise than by way of temporary loan) from a publicly-owned company such sums in any currency as the Corporation may require for all or any of the purposes mentioned in subsection (2) above.”.

Corporation's
accounts.

6.—(1) In section 24(1) (Corporation to prepare certain statements of accounts in respect of each financial year)—

(a) in paragraph (b) (Corporation to prepare a statement dealing with Corporation and the publicly-owned companies as a whole) for “and the publicly-owned companies as a whole” there shall be substituted “and their subsidiaries or, if the Secretary of State so directs in respect of any financial year, of the Corporation and their subsidiaries other than any subsidiary (not being a publicly-owned company) specified in the direction”; and

(b) in paragraph (c) (where Secretary of State so directs, Corporation to prepare a statement dealing with Corporation and, according as may be specified in the direction, their subsidiaries or specified subsidiaries) for the words from “and (according” to the end there shall be substituted “and the publicly-owned companies as a whole”.

(2) The first financial year in respect of which section 24(1) is to have effect as amended by this Act is that ending with 3rd April 1976.

Short title
and Schedule

7.—(1) This Act may be cited as the Iron and Steel (Amendment) Act 1976.

(2) Sections 16, 19 and 24(1) as amended by this Act are set out in the Schedule to this Act.

SCHEDULE

Section 7(2).

SECTIONS 16, 19 AND 24(1) REPRINTED WITH AMENDMENTS

Borrowing powers of the Corporation and publicly-owned companies.

16.—(1) The Corporation may borrow temporarily, by way of overdraft or otherwise, either from the Secretary of State or, with the consent of the Secretary of State and the approval of the Treasury, from any other person, such sums in sterling as the Corporation may require for—

- (a) meeting their obligations or exercising and performing their functions under this Act ; or
- (b) lending money temporarily to a publicly-owned company.

(2) The Corporation may borrow (otherwise than by way of temporary loan) from the Secretary of State, or, with his consent and the approval of the Treasury, from the Commission of the European Communities or the European Investment Bank, such sums in sterling as they may require for all or any of the following purposes—

- (a) the provision of money for meeting any expenses incurred by the Corporation or a publicly-owned company in connection with any works the cost of which is properly chargeable to capital ;
- (b) the provision of working capital required by the Corporation or a publicly-owned company ;
- (c) the acquisition under section 3 of this Act of any interests in, or property or rights of, a company or the formation under that section of a company ;
- (d) the lending of money to a publicly-owned company (otherwise than by way of temporary loan) ;
- (e) the repayment of any money borrowed by the Corporation ;
- (f) any other purpose for which capital moneys are properly applicable.

(3) The Corporation may, with the consent of the Secretary of State (which shall require the approval of the Treasury), borrow any sum in a currency other than sterling which they have power to borrow in sterling from the Secretary of State.

(4) Without prejudice to the preceding provisions of this section, the Corporation may, without obtaining the consent of the Secretary of State or the approval of the Treasury under this section,—

- (a) borrow temporarily, by way of overdraft or otherwise, from a publicly-owned company such

sums in any currency as the Corporation may require for—

(i) meeting their obligations or exercising and performing their functions under this Act; or

(ii) lending money temporarily to another publicly-owned company;

(b) borrow (otherwise than by way of temporary loan) from a publicly-owned company such sums in any currency as the Corporation may require for all or any of the purposes mentioned in subsection (2) above.

(5) A power to borrow any sum under this section is subject to the limit imposed by section 19 of this Act, and the Corporation shall not have power to borrow money except in accordance with this section.

(6) The Corporation shall secure that no publicly-owned company borrows money otherwise than from the Corporation or from another publicly-owned company except with the consent of the Secretary of State and the approval of the Treasury.

Limit on
borrowing
by, and
investment
in the
Corporation.

19.—(1) The aggregate of the following shall not at any time exceed the limit imposed by or by virtue of subsection (2) below—

(a) the amount outstanding in respect of the principal of any money borrowed under section 16 of this Act by the Corporation, other than money borrowed by them for the payment off of any part of their commencing capital debt, being the debt of £133,988,359.20 which the Corporation were treated as having assumed on 28th July 1967 and other than money borrowed by them from a publicly-owned company;

(b) any sums paid by the Secretary of State to the Corporation under subsection (1) of section 18 of this Act (but not any sums deemed to have been so paid by virtue of subsection (3) or (4) of that section); and

(c) the amount outstanding in respect of the principal of any money borrowed by any publicly-owned company, other than money borrowed from the Corporation or another publicly-owned company.

(2) The said limit is £3,000 million or such greater sum not exceeding £4,000 million as the Secretary of State may specify by order made with the consent of the Treasury.

Accounts of
the Corpora-
tion and
audit.

24.—(1) The Corporation shall keep proper accounts and other records and shall prepare in such form as the Secretary of State may, with the approval of the Treasury, direct—

- (a) in respect of each financial year, a statement of the accounts of the Corporation ;
- (b) in respect of each financial year, a consolidated statement of accounts dealing with the state of affairs and profit or loss of the Corporation and their subsidiaries or, if the Secretary of State so directs in respect of any financial year, of the Corporation and their subsidiaries other than any subsidiary (not being a publicly-owned company) specified in the direction ; and
- (c) in respect of a financial year as to which the Secretary of State, with the approval of the Treasury, directs that this paragraph shall have effect, a consolidated statement of accounts dealing with the state of affairs and profit or loss of the Corporation and the publicly-owned companies as a whole.